- Duties of a Company Auditor may broadly classified into Statutory Duties, Duties under Common Law and Other Duties like Contractual Duties and Professional Duties.
- The nature of Liabilities of an Auditor are: (1) Civil Liability, (2) Liabilities under Companies Act, (3) Criminal Liability under Indian Penal Code, (4) Liability under Income Tax Act, (5) Liability for Professional Misconduct and (6) Liability towards Third Parties.

KEY TERMS

- **Government Company:** A 'Government Company' is a company in which not less than 51% of the paid up share capital is held by the Central or State Government or Governments or partly by the Central government and partly by one or more State governments.
- **Casual Vacancy:** Causal vacancy arises due to death, insanity, insolvency or due to any other disqualification of the auditor.
- **Negligence:** Negligence means breach of duty. An auditor should take reasonable care and skill in the performance of his duties. If he fails to do so, liability for negligence arises.
- **Misfeasance:** Misfeasance means breach of trust. If an auditor does something wrongfully in the performance of his duties resulting in a financial loss to the company, he is guilty of misfeasance.

Important Sections in Companies Act, 2013:

Section 139 – Appointment of Auditors

Section 140 – Removal and Resignation of Auditor

Section 141 – Eligibility, Qualifications and Disqualifications of Auditors

Section 142 – Remuneration of Auditor

Section 143 – Powers and Duties of Auditor

Section 144 – Auditor not to render certain services

Section 145 – Auditor to sign Audit reports

Section 146 – Auditor to attend General meeting

Section 147 – Punishment for contravention

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